

Final Project Report

Starbucks

**RSM497
Sustainability Strategy**

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Company Overview

Starbucks Corporation is a global coffeehouse and beverage company with more than 40,000 stores operating across 88 markets, supported by a value chain that spans agricultural sourcing, roasting, manufacturing, distribution, and retail operations (Starbucks Coffee Company, 2025). Starbucks positions itself as a premier purveyor of high-quality coffee while emphasizing connection, community, and consistent customer experience across company-operated and licensed locations (Starbucks Canada, n.d.). Starbucks sources key ingredients including arabica coffee, dairy, tea, and cocoa from extensive global supplier networks, working directly with more than 440,000 coffee farms worldwide through its Coffee and Farmer Equity Practices (C.A.F.E.) verification program (Starbucks Coffee Company, 2025).

ESG Materiality Assessment

Starbucks faces several material ESG challenges across its global value chain. The most significant environmental impacts arise in the agricultural stage of the value chain, where scope 3 “Purchased Goods and Services” dominates the company’s footprint. Approximately 94% of total greenhouse gas emissions fall under scope 3, driven largely by dairy and coffee production. Dairy is especially carbon-intensive, accounting for about 13% of Starbucks’ global emissions, with methane from dairy farming contributing roughly 6% of scope 3 emissions (Starbucks, 2024). Coffee sourcing is also a critical issue, as Starbucks relies on a high number of smallholder farmers across more than 30 countries, many of whom face climate variability, unpredictable rainfall, pests, and disease. Coffee cultivation is linked to land-use change and deforestation, and green coffee purchases make up about 12% of Starbucks’ total emissions. Beyond environmental risk, coffee farming also presents social risks, as farmers often experience income instability that limits their ability to adapt to climate change.

Labour practices are another high-material issue spanning the entire value chain. In the downstream retail segment, recent strikes by baristas across multiple U.S. cities highlight concerns over wages, staffing, and scheduling predictability, indicating rising operational and reputational risk (Sainato, 2025). Upstream, agricultural workers in coffee-producing regions face long hours, low pay, and in some cases, exposure to child or forced labour (Business & Human Rights Resource Centre, 2025). Because Starbucks’ brand heavily emphasizes ethical sourcing and partner well-being, inconsistencies between these commitments and actual working conditions pose significant social and governance risk.

Furthermore, Starbucks faces ongoing sustainability challenges related to packaging waste and reusable cup adoption, which continue to draw attention from both consumers and environmental organizations. In 2021, Greenpeace International criticized the company for slow and uneven progress on reusable cup systems and called for stronger action to reduce single-use waste (Greenpeace International, 2021). Since then, Starbucks has expanded reuse initiatives, including allowing personal cups across all ordering channels and testing new packaging pilots. However, progress remains limited, only 27% of customer-facing packaging is recyclable, compostable, or reusable, and just 2.6% of beverages were served in reusable cups in FY24. Starbucks also faced customer criticism in 2025 over new compostable cup designs in certain U.S. markets, reflecting ongoing public sensitivity to packaging changes (Economic Times, 2025).

Retail store operations including energy use, water consumption, and waste management are also part of Starbucks’ sustainability profile, though they represent a comparatively smaller share of total emissions. Despite this, Starbucks continues to expand its Greener Stores Framework, which focuses on improving building efficiency and reducing operational waste, demonstrating the company’s effort to embed sustainability across its retail footprint.

Based on our analysis, the most material ESG issues for Starbucks are agricultural emissions from dairy and coffee and labour practices across sourcing and retail operations, as these two issues emerge as the most materially significant drivers of Starbucks’ long-term sustainability performance.

In comparison, Starbucks' main ESG assessment places substantial emphasis on waste reduction, and store-level initiatives such as reusable cup pilots, compostable packaging trials, and the Greener Stores Framework. While these areas are important for brand reputation and operational efficiency, they are not the most material drivers of the company's overall sustainability impact. Many of Starbucks' upstream initiatives such as its agricultural support programs, climate-resilient seed distribution, and early methane-reduction partnerships remain in early stages and receive less strategic focus.

Sustainability Goals and Key Metrics

Starbucks' sustainability strategy is anchored in its 2030 "Resource Positive" goals, which commit the company to achieving a 50% reduction in carbon emissions, water withdrawal, and waste sent to landfill relative to a 2019 baseline (Starbucks, 2024). To track progress, the company reports detailed annual metrics in its Global Impact Report, including total GHG emissions, emissions intensity, water withdrawals, waste flows, packaging circularity, renewable energy use, and sourcing indicators across coffee, cocoa, tea, and manufactured goods. Furthermore, Starbucks tracks their progress toward fair labour practices using social metrics including average hourly wages, turnover rates, representation across diversity categories, pay-equity indicators, training participation, and SCAP enrollment and graduation numbers.

Overall, Starbucks' sustainability goals are clear and aligned with the 1.5° C pathway, validated by the Science Based Targets initiative (Starbucks Coffee Company, 2024). The Global Impact Report provides detailed metrics for scope 1, 2, and 3 emissions including category-level breakdowns for purchased goods, dairy methane, transportation, and waste. Starbucks also follows recognized reporting frameworks such as SASB, IFRS Sustainability Disclosure Standards, TCFD, and GRI (Starbucks Coffee Company, 2024). However, the sustainability report does not clearly indicate whether the company is on track to meet its 2030 climate goals, and key agricultural emissions still rely on evolving methodologies that limit transparency on actual reductions. On the social side, labour and human-rights metrics emphasize wages, benefits, pay equity, and training, but do not measure outcomes related to the labour issues driving ongoing barista strikes such as staffing adequacy, scheduling stability, or dispute-resolution effectiveness. Supply-chain metrics are also still activity-based rather than measurable outcome-based which prevents assessing the real impact.

Sustainability Strategies

To achieve its 2030 Resource Positive targets of reducing carbon emissions by 50%, the central pillar of Starbucks' sustainability strategy is its Coffee and Farmer Equity (C.A.F.E.) practices, which define environmental, social, and economic standards for coffee suppliers (Starbucks, 2024). The program requires responsible land management, reduced pesticide use, soil and water conservation, and biodiversity protection. On the human rights side, suppliers must uphold labour protections including fair wages and benefits, transparent hiring, reasonable working hours, protective equipment, and access to basic services such as medical care and education. Additionally, all C.A.F.E. compliance assessments are conducted by third-party verifiers. This aligns with our course concept of sustainable value-chain governance, where clear standards and third-party verification reduce information asymmetry, increase credibility, and help solve principal-agent problems across the supply chain.

To further reduce scope 3 emissions, Starbucks distributes climate-resilient seedlings, expands shade-tree systems, installs eco-wet mills, and provides agronomy training through its global network of Farmer Support Centers. These initiatives represent a direct solution to supply-chain sustainability challenges by increasing monitoring, reducing information asymmetry, and building suppliers' capacity to meet sustainability standards. In dairy, the company supports manure-management technologies such as biodigesters, trials enteric methane-reducing feed additives, and participates in industry initiatives such as the Dairy Methane Action Alliance. Starbucks' engagement in these alliances reflects a collaboration and open innovation approach, where companies pool resources, share technological learnings, and jointly scale solutions to reducing methane emissions from the dairy

supply chain. In terms of reducing scope 1 and 2 emissions, operationally, Starbucks advances decarbonization through their Greener Stores Framework, which includes renewable-energy procurement, electrified equipment, and energy-efficient building standards. This aligns with the CPPIB abatement framework which focuses on a low cost and most controllable decarbonization strategy.

To achieve 50% reduction in water withdrawals, Starbucks' water strategy focuses on lowering water use intensity in both sourcing regions and retail operations. In coffee production, eco-wet mills reduce water consumption and wastewater impacts, while soil-health programs and shade-tree systems improve water retention and watershed stability. In its stores, Starbucks deploys water-efficient fixtures, optimized beverage equipment, and leak-prevention systems through the Greener Stores Framework. This reflects the course concept that systemic sustainability issues like water require coordinated action across both the upstream and downstream segments of the value chain.

To achieve 50% reduction in waste, Starbucks' waste-reduction strategy focuses on packaging innovation, including compostable and recyclable cups as a credence attribute, and the adoption of circular economy practices through reuse systems and food-waste diversion. The company pilots compostable and recyclable cup designs, redesigns lids and straws for improved recyclability, and expands acceptance of reusable cups across all stores. These packaging innovations align with the circular-economy "Recycle / Regenerate" loops, while reusable cups contribute to the "Reuse / Redistribute" loop and extend product life through repeated use. Starbucks also offers a 10-cent discount for customers who bring in a clean, reusable cup for their beverage orders as an incentive. In addition, Starbucks advances Food Waste Reduction and Hunger Relief through donation partnerships that redirect surplus food away from landfill toward local hunger-relief organizations. Greener Stores also include upgraded waste-sorting infrastructure to improve landfill diversion, which aligns with the biological cycle of the circular-economy framework, particularly the 'Cascades' stage and the anaerobic-digestion-to-biogas pathway.

Starbucks also participates in collective action to advance its sustainability targets. The company collaborates with Conservation International on sourcing verification, and participates in multi-stakeholder dairy methane initiatives. Starbucks also uses third-party assurance for emissions data, human-rights audits, and supply-chain compliance, which enhances the transparency and reliability of its disclosures across more than 30 sourcing countries. This reflects course concepts of collective action, NGO partnerships, and credible third-party verification, all of which help reduce information asymmetry, increase credibility, and strengthen sustainability governance across the value chain.

Evaluation of Strategies

Starbucks' sustainability strategy has several notable strengths. Its C.A.F.E. practices and third-party audits significantly reduce information asymmetry and principal-agent problems by enabling direct monitoring and providing credible verification of environmental and labour standards across thousands of farms. Farmer Support Centers and agronomy training also reduce information gaps and strengthen farmer-firm relationships that align practices with sustainability goals. In decarbonization of scope 3 categories, Starbucks' participation in collective action with the Dairy Methane Action Alliance enhances transparency through sector-wide methane-measurement commitments and accelerates collective learning. On the operational side, the Greener Stores Framework is consistent with CPPIB's abatement-capacity framework, which focuses on reducing scope 1 and scope 3 emissions by targeting low-cost abatement through electrification, energy efficiency, and water-saving technologies.

However, Starbucks' strategies also have drawbacks. The complex requirements of C.A.F.E. practices may unintentionally exclude smaller farmers, and enforcement varies across regions because auditors apply standards unevenly. Furthermore, Starbucks' labour governance is not strong enough to support its stated commitments to 'fair labour conditions.' While the company highlights partner benefits and ethical-sourcing standards, these claims remain misaligned with the realities faced by both retail workers and agricultural labourers, as ongoing

strikes and reported grievances show persistent issues around staffing, scheduling, wages, and working conditions across the value chain.

Farmer Support Centers focus on capacity-building activities without reporting measurable emissions or livelihood outcomes, which reduces transparency around whether these initiatives meaningfully support Starbucks' 2030 targets. Additionally, Starbucks' leverage in the Dairy Methane Action Alliance is limited because the company neither owns dairy farms nor controls the production practices that generate methane. Operationally, the Greener Stores Framework addresses only scope 1 and 2 emissions, which represent a small share of Starbucks' overall carbon footprint and therefore do not meaningfully shift its net-zero trajectory. Furthermore, Starbucks' cup innovations also fall short. The compostable cups often leak and lack durability, the recyclable cups still end up in landfills, and the adoption of reusable cups remains low. Finally, Starbucks' food-waste strategy is restricted by strict food-safety rules, so only certain items can be donated, and a large share of unsold food still becomes waste.

Recommendations

Building on our analysis, we propose several recommendations to address Starbucks' most significant ESG gaps and actionable strategies to strengthen its overall sustainability performance. First, Starbucks should place labour practices and governance at the centre of its ESG strategy. To achieve this Starbucks should strengthen its independent audits, improve supply-chain visibility, and adopt outcome-based indicators that directly address the issues driving ongoing labour strikes such as staffing adequacy, scheduling stability, or dispute-resolution effectiveness. Embedding these measures into its sustainability strategy would ensure Starbucks to uphold its labour commitments and help the company avoid the perception of greenwashing.

Secondly, Starbucks should strengthen its decarbonization strategy by prioritising the reduction of methane emissions from dairy production, which represents one of the largest components of its scope 3 footprint. The company could set quantified, outcome-based targets for reducing emissions, for example methane reductions per kilogram of milk or emissions intensity per kilogram of green coffee. Additionally, the company could also increase investment in regenerative agriculture, which reduces emissions driven by inputs while enhancing soil carbon sequestration. Specific actions include scaling up cover cropping, providing early-stage transition financing, and introducing performance-based incentives for suppliers with strong ESG outcomes by offering long-term contracts to provide financial stability for farmers who adopt sustainable practices. By focusing on its most impactful emission sources, Starbucks can make measurable progress towards its 2030 commitments on their report.

Thirdly, Starbucks should improve its compostable cup strategy by aligning its environmental performance with customer expectations through a 'green bundle' approach which balances sustainability attributes and high quality packaging. Recent customer backlash shows that eco-friendly materials alone are not enough if the products compromise Starbucks' quality. Hence, compostable cups and straws must be reformulated to meet durability expectations. At the same time, to increase adoption of reusable cups, they could provide different incentives like offering customers who bring a reusable mug a small chance to win a gift card or a free drink. Research has shown that lottery-style reward systems can better motivate both environmentally conscious and indifferent customers to use reusable cups instead of small incentives (UBC SEEDS, 2021).

Finally, Starbucks should improve the consistency and transparency of its sustainability reporting by periodically setting quantifiable targets and measuring its progress towards its 2030 Resource Positive goals, especially in its supply chain disclosures. Improving the transparency and consistency of disclosure would not only enhance accountability but also alleviate concerns about greenwashing by replacing aspirational statements with measurable outcomes.

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